Goizueta's strategy for the 1980s pointedly included shareholders. "We shall, during the next decade, remain totally committed to our shareholders and to the protection and enhancement of their investment," he wrote. "In order to give our shareholders an above-average total return on their investment," he explained, "we must choose businesses that generate returns in excess of inflation."[29]

Goizueta not only had to grow the business, which required capital investment; he also was obliged to increase shareholder value. To do so, Coca-Cola, by increasing profit margins and return on equity, was able to pay dividends while simultaneously reducing the dividend payout ratio. Dividends to shareholders in the 1980s were increasing 10 percent per year while the payout ratio was declining from 65 percent to 40 percent. This enabled Coca-Cola to reinvest a greater percentage of the company's earnings to help sustain its growth rate while not shortchanging shareholders.

Under Goizueta's leadership, Coca-Cola's mission statement became crystal clear; management's primary objective was to maximize shareholder value over time. To do so, the company focused on the high-return soft drink business. If successful, the evidence would be an increase in the growth of cash flow and increased return on equity, and ultimately an increased total return to shareholders.

Tenet: Rational Management

The growth in net cash flow not only allowed Coca-Cola to increase its dividend to shareholders, but also enabled the company to initiate its first ever buy-back program. In 1984, Goizueta announced that the company would repurchase six million shares of stock in the open market. Repurchasing stock is rational only if the intrinsic value of the company is higher than the market price. The strategic changes initiated by Goizueta, with emphasis on increasing the return on equity for shareholders, suggested to him that Coca-Cola had reached that tipping point.

Tenet: Owner Earnings